

SAMPLE ACCOUNTABLE REIMBURSEMENT PLAN

(IRC §62(c)–COMPLIANT | FOR ILLUSTRATIVE PURPOSES ONLY)

IMPORTANT DISCLAIMER

This sample accountable reimbursement plan is provided for **educational and illustrative purposes only**.

It is not legal, tax, or accounting advice and should not be adopted or implemented without review by a qualified attorney or tax professional familiar with the company's specific facts and circumstances.

This sample is intended to illustrate key concepts described in IRC §62(c), Treasury Regulation §1.62-2, and related IRS guidance and professional commentary, and is not a substitute for individualized legal or tax advice.

ABC COMPANY, INC.

ACCOUNTABLE REIMBURSEMENT PLAN

1. Purpose of the Plan

ABC Company, Inc. ("the Company") adopts this Accountable Reimbursement Plan ("the Plan") to reimburse employees for ordinary and necessary business expenses incurred in the performance of their duties.

This Plan is intended to comply with **Internal Revenue Code §62(c)** and **Treasury Regulation §1.62-2**, so that reimbursed expenses are:

- deductible by the Company, and
 - excluded from the employee's taxable income **to the extent allowed under the Internal Revenue Code**.
-

2. Eligible Participants

All employees of ABC Company, Inc. who incur eligible business expenses in connection with Company activities may participate in this Plan.

Participation in the Plan does not alter an employee's compensation arrangement and does not replace wages or salary.

3. Business Expenses Eligible for Reimbursement

The Company may reimburse employees for **ordinary, necessary, and reasonable expenses** incurred in the course of performing services for the Company, including but not limited to:

- home office expenses attributable to business use
- business mileage and transportation costs
- business use of phone and internet services
- office supplies, equipment, and software
- other expenses directly related to Company operations

Reimbursement eligibility is determined by **business purpose**, not by expense category.

Personal expenses, commuting costs, and expenses not directly related to Company business are not eligible for reimbursement under this Plan.

4. Substantiation Requirements

To receive reimbursement, employees must submit adequate documentation for each expense, including:

- the amount of the expense
- the date the expense was incurred
- the business purpose of the expense
- supporting documentation such as receipts, mileage logs, or invoices

Expense reports must be submitted within a **reasonable period of time**, generally within **60 days, or such other period the Company determines to be reasonable under the circumstances, consistent with applicable IRS guidance**, following the expense.

Expenses that are not properly substantiated will not be reimbursed under this Plan.

5. Reimbursement Procedures

Upon receipt and review of a properly substantiated expense report, the Company will reimburse the employee for eligible expenses within a reasonable period, generally within **30 days** after approval.

Reimbursements under this Plan are not treated as wages and are not subject to payroll tax, provided all requirements of this Plan are met.

6. Advances and Return of Excess Amounts

If the Company provides an advance for anticipated business expenses:

- the employee must substantiate the expenses within a reasonable period
- any excess amount advanced must be returned to the Company within **120 days**

Failure to return excess amounts within a reasonable period **will generally cause the excess to be treated** as taxable wages.

7. Non-Accountable Payments

Any payments made without adequate substantiation, or that do not meet the requirements of this Plan, will be treated as **taxable compensation** and included in the employee's wages, subject to applicable payroll taxes.

Flat allowances, estimated reimbursements, or reimbursements not tied to actual expenses are not permitted under this Plan.

8. Record Retention

The Company will retain records related to reimbursements under this Plan, including expense reports and supporting documentation, in accordance with applicable record retention policies and IRS requirements.

9. Plan Administration

The Company designates **[Title / Role]** to review and approve expense reports on behalf of the Company and to administer this Plan in accordance with applicable law.

The Company reserves the right to interpret, administer, amend, or terminate this Plan at any time.

10. Effective Date

This Accountable Reimbursement Plan is effective as of _____ and applies to expenses incurred on or after that date.

Adopted by:

ABC Company, Inc.

Authorized Signature: _____

Title: _____

Date: _____